



Time: 5 minutes

Outcome: Trace entry, exit, zero economic profit, normal profit, and long-run competitive adjustment.

Difficulty: ●●○ Intermediate

Entry, Exit & Long-Run Equilibrium



THE CORE IDEA

Entry and exit move a competitive industry toward long-run equilibrium with zero economic profit. More firms supply more total output at each price. At long-run equilibrium the firm maximizes profit and entry/exit has eliminated economic profit. Entry and exit remove persistent economic profit or loss in the benchmark model.



HOW TO RECOGNIZE IT

- At long-run equilibrium the firm maximizes profit and entry/exit has eliminated economic profit.
- Entry and exit remove persistent economic profit or loss in the benchmark model.
- Long-run industry assessment 10: Demand falls in a constant-cost industry and some firms leave.
- Long-run industry assessment 11: Demand rises in a constant-cost industry and entry is unrestricted.

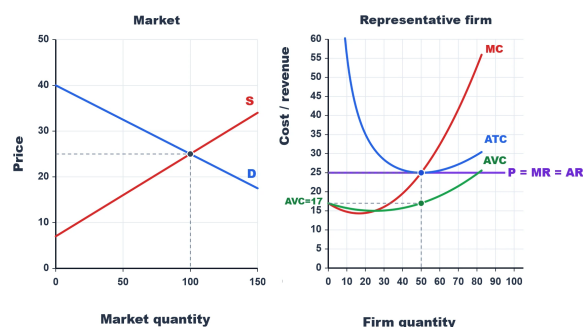


WATCH OUT

Do not miss long run equilibrium conditions. At long-run equilibrium the firm maximizes profit and entry/exit has eliminated economic profit. Entry and exit remove persistent economic profit or loss in the benchmark model.



WORKED EXAMPLE: ENTRY AND ZERO ECONOMIC PROFIT



The market equilibrium price is \$25. At that price, the representative firm produces 50 units where $P = MC$, and \$25 is also the minimum ATC. Revenue covers all explicit and implicit costs, so economic profit is zero and no entry or exit pressure remains.



CHECK YOURSELF

Why can accounting profit be positive at zero economic profit?



READY?

Return to the game and master this concept.